

A WORD ABOUT 529 INVESTMENT PLANS

If you have little kids, you may have heard about these programs that help you save long-term for their college education, and you may wonder if they're something to consider. (You may also wonder why I'm bringing them up here in the retirement chapter.) The reason is that these state-sponsored plans offer tax advantages that are somewhat similar to the benefits you get from 401(k)s and IRAs. My advice, even if you have small children, is to max out your 401(k) plan (up to the amount your company matches) and a Roth IRA before you consider a 529. That's because 529 plans have very strict limits on what you can invest in as well as how you can use the money. If you're one of the rare few who have already maxed out your retirement plans, then you can start investigating 529s at www.savingforcollege.com.

The Choice: Which IRA Is Right for You?

If you want to put money in an IRA, you'll need to decide which kind. Although Roth IRAs are generally considered the better option for younger people, there are a few questions you should ask yourself.

- **Do I qualify for a deductible IRA?** Deductible (traditional) IRAs have relatively low income limits, so you may not qualify for the full \$5,000 deduction. No mystery here: If you don't qualify for the full \$5,000 deductible IRA, go with the Roth.
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A LESSON IN HOW A LITTLE ADDS UP TO A LOT

Although he's never earned more than \$40,000 a year, Peter, 40, has more than \$200,000 in retirement savings. How did he do it? Peter works at a company that allows him to put 15% of his salary each year into a 401(k). His starting salary in 1991 was just \$25,000 a year, but he immediately began contributing the maximum he could to his company plan (even though his company offered no matching